

23STCV12188 23STCV12188

County: los-angeles

Division: Civil Law and Motion

Department: 11

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Case Number: 23STCV12188 Hearing Date: September 22, 2026 Dept: 11

Preliminary Approval of Class Action

Settlement

Department SSC-11

Hon. Bruce Iwasaki

Pereira

v. Bulldog

Auction House, LLC, et al.

Case No.: 23STCV12188

Hearing:

September 22, 2026

TENTATIVE

RULING

GRANT preliminary approval contingent
on the parties addressing the following:

1.

Provide information regarding any fee
splitting agreement and whether the client has given written approval. (Mark
v. Spencer (2008) 166 Cal.App.4th 219; Rules Prof. Conduct, rule 1.5.1;
Cal. Rules of Court, rule 3.769.)

2.

Correct the department number at
Paragraph 8 in the Proposed Notice.

3. The Class Representative payment should not exceed
\$7,500 per representative absent substantial justification. Plaintiffs should
be prepared to justify the request for a payment of \$10,000 each at final
approval.

BACKGROUND

This is a wage and hour class action. On
May 26, 2023, Plaintiff Pereira filed a class action Complaint alleging that
Defendants Bulldog Auction House, LLC ("BAH") and Bulldog-Simi Valley, Inc. ("BSV")
(1) failed to pay all wages; (2) failed to provide meal periods; (3) failed to
provide rest periods; (4) failed to reimburse business expenses; (5) failed to
provide accurate itemized wage statements; (6) failed to timely pay all wages
due upon separation of employment; and (7) violated Business and Professions
Code §§ 17200, et seq.

On August 1, 2023, Plaintiff Pereira
filed his First Amended Complaint ("FAC") which added a cause of action under
PAGA.

On April
15, 2024, Plaintiff Pereira and Defendants attended mediation with Steve Pearl,
Esq. regarding the class and PAGA claims alleged in this action. Plaintiff
Pereira and Defendants did not settle but continued to meet and confer
regarding a second mediation and a potential resolution. Pereira and Defendants
BAH and BSV thereafter engaged in substantial written discovery and law and
motion work.

On March 28, 2024, Bryan Bernabel
filed a class action against Defendant Atomic Enterprises, Inc. ("Atomic")
alleging similar claims as the Pereira Action. On June 20, 2024,
Plaintiff Bernabel amended his complaint to add a cause of action for PAGA
penalties.

Defendants
substituted in new counsel and Plaintiffs and Defendants (collectively, the

"Parties") attended a second global mediation on December 31, 2024 which did not result in a settlement.

On May 1, 2025, Plaintiff Pereira filed a Second Amended Complaint and added Defendants Bulldog-Chatsworth, Inc. ("BC"), Bulldog-Valencia, Inc. ("BV"), Bulldog-Camarillo, Inc. ("BCI"), Atomic, and Jonathan Manhan as defendants as well as additional allegations.

Defendants substituted in new counsel and the Parties engaged in months of settlement negotiations and additional informal discovery with the assistance of mediator, Michael D. Young, Esq. and reached a global settlement to resolve the Pereira and Bernabel Actions. A fully executed copy of the Settlement Agreement is attached to the Declaration of Daniel J. Hyun ("Hyun Decl.") as Exhibit 1.

On April 9, 2026, the Parties submitted a stipulation to consolidate the Actions and for leave to file a Third Amended Consolidated Complaint which was granted.

On April 27, 2026, Plaintiffs filed the Third Amended Complaint.

Now before the Court is the Motion for Preliminary Approval of the Settlement Agreement.

SETTLEMENT

CLASS DEFINITION

- "Class"

means all non-exempt employees who worked for Defendants in California during the Class Period. (¶1.5)

- "Class

Period" means the period from May 26, 2019, through October 3, 2025. (¶1.12)

- "Aggrieved

Employee" means all non-exempt employees who worked for Defendants in California during the PAGA Period. (¶1.4)

- "PAGA

Period” means the period from May 25, 2022, through October 3, 2025. (¶1.31)

· "Participating

Class Member" means a Class Member who does not submit a valid and timely Request for Exclusion from the Settlement. (¶1.35)

TERMS

OF SETTLEMENT AGREEMENT

The

essential terms are as follows:

· The

Gross Settlement Amount ("GSA") is \$750,000, non-reversionary. (¶3.1)

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Escalator Clause: Based on their records, Defendants estimate that, as of the date of this Settlement Agreement, (1) there are 595 Class Members and 27,500 Total Workweeks during the Class Period and (2) there were 335 Aggrieved Employees who worked 7,345 Pay Periods during the PAGA Period. If the total number of Workweeks as of the end of the Class Period exceeds the above figure by greater than 10% of the estimated Total Workweeks, then the Gross Settlement Amount shall increase pro rata based on the number of additional Workweeks above 10%. Class Counsel and Defense Counsel must finalize the end date of the Class Period before Plaintiffs file the Motion for Preliminary Approval and submit evidence showing if the escalator clause has been triggered and the consequences. (¶8)

· The

Net Settlement Amount ("Net") (\$359,000) is the GSA minus the following:

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Up to \$250,000 (1/3) for attorney fees (¶3.2.2);

§ Fee Split:

o

Up to \$35,000 for attorney

costs (Ibid.);

o

Up to \$20,000 [\$10,000 each] for
a service award to the proposed class representatives (§3.2.1);

o

Up to \$11,000 for settlement
administration costs (§3.2.3); and

o

Payment of \$75,000 PAGA penalties
(75% of \$100,000) to the LWDA. (§3.2.5)

· Defendant

will separately pay any and all employer payroll taxes owed on the Wage
Portions of the Individual Class Payments. (§3.1)

· There

is no claim form requirement. (§3.1)

·

Individual Settlement

Payment Calculation: An Individual Class Payment calculated by (a) dividing the
Net Settlement Amount by the total number of Workweeks worked by all
Participating Class Members during the Class Period and (b) multiplying the
result by each Participating Class Member's Workweeks. (§3.2.4) Non-Participating
Class Members will not receive any Individual Class Payments. The Administrator
will retain amounts equal to their Individual Class Payments in the Net
Settlement Amount for distribution to Participating Class Members on a pro rata
basis. (§3.2.4.2)

o Tax Allocation: 33.33% as wages and 66.67 as
interest and penalties. (§3.2.4.1)

·

PAGA Payments: The Administrator will calculate each Individual PAGA Payment by (a)
dividing the amount of the Aggrieved Employees' 25% share of PAGA Penalties
(\$25,000.00) by the total number of PAGA Period Pay Periods worked by all
Aggrieved Employees during the PAGA Period and (b) multiplying the result by

each Aggrieved Employee's PAGA Period Pay Periods. Aggrieved Employees assume full responsibility and liability for any taxes owed on their Individual PAGA Payment. (§3.2.5.1)

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Tax Allocation: The Administrator will report the Individual PAGA Payments on IRS 1099 Forms. (§3.2.5.2)

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"Response

Deadline" means 45 calendar days after the Administrator mails Notice to Class Members and Aggrieved Employees, and shall be the last date on which Class Members may: (a) fax, email, or mail Requests for Exclusion from the Settlement, or (b) fax, email, or mail his or her Objection to the Settlement. Class Members to whom Notice Packets are resent after having been returned undeliverable to the Administrator shall have an additional 14 calendar days beyond the Response Deadline has expired. (§1.43) The same deadline applies to the submission of payment disputes. (§7.6)

o If the number of valid Requests for Exclusion identified in the Exclusion List exceeds 10% of the total of all Class Members, Defendants may, but are not obligated, elect to withdraw from the Settlement. (§9)

· Funding

of Settlement: Defendants shall fully fund the Gross Settlement Amount and also fund the amounts necessary to fully pay Defendants' share of payroll taxes by transmitting the funds to the Administrator no later than 7 days after the Effective Date. (§4.3)

· Disbursement:

Within 14 days after Defendants funds the Gross Settlement Amount, the Administrator will mail checks for all Individual Class Payments, all Individual PAGA Payments, the LWDA PAGA Payment, the Administration Expenses Payment, the Class Counsel Fees Payment, the Class Counsel Litigation Expenses Payment, and the Class Representative Service Payments. Disbursement of the Class Counsel Fees Payment, the Class Counsel Litigation Expenses Payment and the Class Representative Service Payments shall not precede disbursement of Individual Class Payments and Individual PAGA Payments. (§4.4)

· Uncashed Settlement Checks: For any Class Member whose Individual Class Payment check or Individual PAGA Payment check is uncashed and cancelled after the void date, the Administrator shall transmit the funds represented by such checks to the California Controller's Unclaimed Property Fund in the name of the Class Member thereby leaving no "unpaid residue" subject to the requirements of California Code of Civil Procedure Section 384, subd. (b). (¶4.4.3)

· The settlement administrator will be Phoenix Settlement Administrators. (¶1.2)

The proposed settlement was submitted to the LWDA on February 18, 2026. (Hyun Decl., Exhibit 2.)

Participating class members and the named Plaintiff will release certain claims against Defendant. (See further discussion below)

ANALYSIS OF SETTLEMENT AGREEMENT

1.
Does
a presumption of fairness exist?

1.
Was the settlement reached through arm's-length bargaining?
Yes. On April 15, 2024, Plaintiff Pereira and Defendants attended mediation with Steve Pearl, Esq. regarding the class and PAGA claims alleged in this action. Plaintiff Pereira and Defendants did not settle but continued to meet and confer regarding a second mediation and a potential resolution. Pereira and Defendants BAH and BSV thereafter engaged in substantial written discovery and law and motion work. (Hyun Decl., ¶4.) Defendants substituted in new counsel and Plaintiffs and Defendants (collectively, the "Parties") attended a second global mediation on December 31, 2024 which did not result in a settlement. (Id. at ¶6.) Defendants substituted in new counsel and the Parties engaged in months

of settlement negotiations and additional informal discovery with the assistance of mediator, Michael D. Young, Esq. and reached a global settlement to resolve the Pereira and Bernabel Actions. (Id. at ¶8.)

2.

Were investigation and discovery

sufficient to allow counsel and the court to act intelligently? Class Counsel represents that prior to mediation, Plaintiff's Counsel engaged in

numerous communications with opposing counsel regarding Plaintiff's claims and obtained data and documents produced by Defendants, including all available Class Members' time keeping and payroll records, and other information.

Thereafter, Plaintiff's Counsel engaged an expert to conduct a thorough analysis and calculation of the damages. Pereira and Defendants BAH and BSV thereafter engaged in substantial written discovery and law and motion work.

(Id. at ¶4.) Following the filing of the initial complaint, the Parties exchanged documents and information before mediating this action. Defendant produced a sample of time and pay records for class members. Defendant also provided documents of its wage and hour policies and practices during the class period, and information regarding the total number of current and former employees in its informal discovery responses. After reviewing documents regarding Defendant's wage and hour policies and practices and analyzing Defendant's timekeeping and payroll records, Class Counsel was able to evaluate the probability of class certification, success on the merits, and Defendant's maximum monetary exposure for all claims. Class Counsel also investigated the applicable law regarding the claims and defenses asserted in the litigation. Class Counsel reviewed these records and prepared a damage analysis prior to mediation. (Declaration of Tyler J. Woods ("Woods Decl."), ¶¶4-5.)

3.

Is Class Counsel experienced in similar litigation?

Class Counsel is experienced in class action litigation, including wage and hour class actions.

(Hyun Decl., ¶¶30-46; Woods Decl., ¶¶19-29.)

4.

What percentage of the class has

objected? This cannot be determined until the fairness hearing. See Weil & Brown, Cal. Practice Guide: Civil Procedure Before Trial (The Rutter Group 2014) ¶ 14:139.18, ("Should the court receive objections to the proposed settlement, it will consider and

either sustain or overrule them at the fairness hearing.”).

CONCLUSION: The settlement is entitled to a presumption of fairness.

2. Is the settlement
fair, adequate, and reasonable?

1.
Strength of Plaintiff’s case. “The most important factor is the strength of the case for plaintiff on the merits, balanced against the amount offered in settlement.” (Kullar v. Foot Locker Retail, Inc. (2008) 168 Cal.App.4th 116, 130.) Here, Class Counsel has provided information, summarized below, regarding the estimated values of the class claims alleged:

Violation

Maximum Exposure

Realistic Exposure

Unpaid Wages

\$533,869.00

\$53,386.90

Meal Period Violations

\$2,016,861.21

\$1,008,430.61

Rest Period Violations

\$2,329,516.28

\$582,379.07

Reimbursement Claim

\$145,400.00

\$43,620.00

Waiting Time Penalties

\$1,659,840.00

\$414,960.00

Wage Statement Penalties

\$650,750.00

\$162,687.50

PAGA Penalties

\$4,755,150.00

\$234,945.38

Total

\$12,091,386.49

\$2,500,409.46

(Hyun

Decl., ¶¶20-26.)

2. Risk, expense, complexity and likely duration of further litigation. Given the nature of the class claims, the case is likely to be expensive and lengthy to try. Procedural hurdles (e.g., motion practice and appeals) are also likely to prolong the litigation as well as any recovery by the class members.

3. Risk of maintaining class action status

through trial. Even if a class is certified, there is always a risk of decertification. (See *Weinstat v. Dentsply Intern., Inc.* (2010) 180 Cal.App.4th 1213, 1226 (“Our Supreme Court has recognized that trial courts should retain some flexibility in conducting class actions, which means, under suitable circumstances, entertaining successive motions on certification if the court subsequently discovers that the propriety of a class action is not appropriate.”).)

4. Amount

offered in settlement. Class Counsel obtained a settlement valued at \$750,000. This is approximately 6.2% of Plaintiff’s potential maximum recovery and 30% of the estimated realistic recovery which, given the uncertain outcomes, is within the “ballpark” of reasonableness.

The

settlement amount, after being reduced by the requested deductions, leaves approximately \$359,000 to be divided among approximately 595 class members. Assuming full participation, the resulting payments will average approximately \$603.36 per class member.

5. Extent

of discovery completed and stage of the proceedings. As indicated above, at the time of the settlement, Class Counsel had conducted sufficient discovery.

6. Experience

and views of counsel. The settlement was negotiated and endorsed by Class Counsel who, as indicated above, is experienced in class action litigation, including wage and hour class actions.

7. Presence of a

governmental participant. This factor is not applicable here.

8. Reaction

of the class members to the proposed settlement. The class members’ reactions will not be known until they receive notice and are afforded an opportunity to object, opt-out and/or submit claim forms. This factor becomes relevant during the fairness hearing.

CONCLUSION:

The settlement can be preliminarily deemed "fair, adequate, and reasonable."

3. Scope of the release

Releases of Claims: Effective on the date when Defendants fully fund the entire Gross Settlement Amount and fund all employer payroll taxes owed on the Wage Portion of the Individual Class Payments, Plaintiffs and Class Members will release claims against all Released Parties as follows: (§15)

· Release by Participating Class Members: All Participating Class Members, on behalf of themselves and their respective former and present representatives, agents, attorneys, heirs, administrators, successors, and assigns, release Released Parties from all claims that were alleged, or reasonably could have been alleged, based on the facts and allegations in the Operative Complaint that are alleged to have occurred during the Class Period. Except as set forth in Section 5.3 of this Agreement, Participating Class Members do not release any other claims, including claims for vested benefits, wrongful termination, violation of the Fair Employment and Housing Act, unemployment insurance, disability, social security, workers' compensation, or claims based on events occurring outside the Class Period. (§15.2)

· Release by Aggrieved Employees: All Aggrieved Employees are deemed to release, on behalf of themselves and their respective former and present representatives, agents, attorneys, heirs, administrators, successors, and assigns, the Released Parties from all claims for PAGA Penalties that were alleged, or reasonably could have been alleged, based on the facts and allegations in the Operative Complaint that are alleged to have occurred during the PAGA Period and the PAGA Notice. (§15.3)

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Because future

PAGA claims are subject to claim preclusion upon entry of the Order, Non-Participating Class Members who are Aggrieved Employees are deemed to release the claims identified in Paragraph 5.3 of this Agreement and are eligible for an Individual PAGA Payment. (§17.5.4)

· “Released Parties” means: Defendants and each of their former and present parents, subsidiaries and affiliated companies and entities, and their current and former directors, officers, shareholders, owners, members, attorneys, insurers, predecessors, and agents, successors, assigns, insurers, or legal representatives and any individual or entity who or which could be jointly liable with Defendants, and all persons or entities acting by, through under or in concert with any of them. (¶1.41)

· Named Plaintiffs will also provide a general release and CC § 1542 waiver. (¶¶5.1-5.1.1)

4. May conditional class certification be granted?

1.
Standards

A detailed analysis of the elements required for class certification is not required, but it is advisable to review each element when a class is being conditionally certified (*Amchem Products, Inc. v. Winsor* (1997) 521 U.S. 620, 622-627.) The trial court can appropriately utilize a different standard to determine the propriety of a settlement class as opposed to a litigation class certification. Specifically, a lesser standard of scrutiny is used for settlement cases. (*Dunk* at 1807, fn 19.) Finally, the Court is under no “ironclad requirement” to conduct an evidentiary hearing to consider whether the prerequisites for class certification have been satisfied. (*Wershba* at 240.)

2.
Analysis

a.
Numerosity. There are approximately 595 Class Members. (*Hyun Decl.*, ¶10.) This element is met.

b.
Ascertainability. The proposed class is defined above. The class definition is “precise, objective and presently ascertainable.” (*Sevidal v. Target Corp.* (2010) 189

Cal.App.4th 905, 919.) The class members are identifiable from Defendant's records. (Hyun Decl., ¶11.)

c.

Community of interest. "The community of interest requirement involves three factors: '(1) predominant common questions of law or fact; (2) class representatives with claims or defenses typical of the class; and (3) class representatives who can adequately represent the class.'" (Linder v. Thrifty Oil Co. (2000) 23 Cal.4th 429, 435.)

As to

predominant questions of law or fact, counsel contends that the common legal and factual questions in this case include whether Defendants applied the same compensation, reimbursement, and meal and rest break policies to all Class Members; whether those policies or their implementation resulted in Labor Code violations; whether Defendants' conduct was intentional; and whether Class Members are entitled to penalties, among other things. These questions could be resolved using Defendants' time and payroll records, corporate representative testimony, and written policies and practices. (Hyun Decl., ¶14.)

As to

typicality, Plaintiffs allege that they and the other Class Members were employed by the same company and injured by the company's common policies and practices related to compensation including, wages, meal periods and rest breaks, and derivative violations. Plaintiffs seek relief for these claims and derivative claims on behalf of all Class Members. (Id. at ¶15.)

As to adequacy,

Plaintiffs represent that they have participated in the litigation and are aware of the duties of serving as class representative. (Declarations of Marvin Pereira and Bryan Bernabel.)

d.

Adequacy of class counsel. As indicated above, Class Counsel has shown experience in class action litigation, including wage and hour class actions.

e.

Superiority. Given the relatively small size of the individual claims, a class action appears to be superior to separate actions by the class members.

CONCLUSION: The class may be conditionally certified

since the prerequisites of class certification have been satisfied.

5. Is the notice proper?

1.

Content of class notice. The proposed notice is attached to the Settlement Agreement. Its content appears to be acceptable. It includes information such as: a summary of the litigation; the nature of the settlement; the terms of the settlement agreement; the proposed deductions from the gross settlement amount (attorney fees and costs, enhancement awards, and administration costs); the procedures and deadlines for participating in, opting out of, or objecting to, the settlement; the consequences of participating in, opting out of, or objecting to, the settlement; and the date, time, and place of the final approval hearing. [Wrong dept. at ¶8]

Notice

will be given in English and Spanish. (¶1.11)

2.

Method of class notice.

Not

later than 7 days after the Court grants Preliminary Approval of the Settlement, Defendants will simultaneously deliver the Class Data to the Administrator, in the form of a Microsoft Excel spreadsheet. (¶4.2) Using best efforts to perform as soon as possible, and in no event later than 14 days after receiving the Class Data, the Administrator will send to all Class Members identified in the Class Data, via first-class United States Postal Service ("USPS") mail, the Class Notice with Spanish translation, if applicable. Before mailing Class Notices, the Administrator shall update Class Member addresses using the National Change of Address database. (¶7.4.2)

Not

later than 3 business days after the Administrator's receipt of any Class Notice returned by the USPS as undelivered, the Administrator shall re-mail the Class Notice using any forwarding address provided by the USPS. If the USPS does not provide a forwarding address, the Administrator shall conduct a Class Member Address Search, and re-mail the Class Notice to the most current address obtained. The Administrator has no obligation to make further attempts to

locate or send Class Notice to Class Members whose Class Notice is returned by the USPS a second time. (§7.4.3)

Notice of Final Judgment will be posted on the Settlement Administrator's website. (§7.8.1)

3.

Cost of class notice. As indicated above, settlement administration costs are estimated not to exceed \$11,000. Prior to the time of the final fairness hearing, the administrator must submit a declaration attesting to the total costs incurred and anticipated to be incurred to finalize the settlement for approval by the Court.

6.

Attorney
fees and costs

CRC rule 3.769(b) states: "Any agreement, express or implied, that has been entered into with respect to the payment of attorney fees or the submission of an application for the approval of attorney fees must be set forth in full in any application for approval of the dismissal or settlement of an action that has been certified as a class action."

Ultimately,

the award of attorney fees is made by the court at the fairness hearing, using the lodestar method with a multiplier, if appropriate. (PLCM Group, Inc. v. Drexler (2000) 22 Cal.4th 1084, 1095-1096; Ramos v. Countrywide Home Loans, Inc. (2000) 82 Cal.App.4th 615, 625-626; Ketchum III v. Moses (2000) 24 Cal.4th 1122, 1132-1136.) Despite any agreement by the parties to the contrary, "the court ha[s] an independent right and responsibility to review the attorney fee provision of the settlement agreement and award only so much as it determined reasonable." (Garabedian v. Los Angeles Cellular Telephone Company (2004) 118 Cal.App.4th 123, 128.)

The

question of whether Class Counsel is entitled to \$250,000 (1/3) in attorney fees will be addressed at the fairness hearing when class counsel brings a noticed motion for attorney fees. Class counsel must provide the court with billing information so that it can properly apply the lodestar method and must indicate what multiplier (if applicable) is being sought as to each

counsel.

Class Counsel should also be prepared to justify the costs sought (capped at \$35,000) by detailing how they were incurred.

7. Incentive Award

The

Settlement Agreement provides for an enhancement award of up to \$20,000 [\$10,000 each] to the named Plaintiffs. In connection with the final fairness hearing, named Plaintiffs must submit a declaration attesting to why he or she should be entitled to an enhancement award in the proposed amount. The named Plaintiff must explain why he or she “should be compensated for the expense or risk she has incurred in conferring a benefit on other members of the class.” (Clark v. American Residential Services LLC (2009) 175 Cal.App.4th 785, 806.) Trial courts should not sanction enhancement awards of thousands of dollars with “nothing more than pro forma claims as to ‘countless’ hours expended, ‘potential stigma’ and ‘potential risk.’” Significantly more specificity, in the form of quantification of time and effort expended on the litigation, and in the form of reasoned explanation of financial or other risks incurred by the named plaintiff, is required in order for the trial court to conclude that an enhancement was ‘necessary to induce [the named plaintiff] to participate in the suit’” (Id. at 806-807, italics and ellipsis in original.) The Court will decide the issue of the enhancement awards at the time of final approval.